

6-4 Inventory Costing Methods under a Periodic Inventory System

When the periodic inventory system is used, only revenue is recorded each time a sale is made. No entry is made at the time of the sale to record the cost of the goods sold. At the end of the accounting period, a physical inventory is taken to determine the cost of the inventory and the cost of the goods sold.

Objective 4 - Determine the cost of inventory under the periodic inventory system, using the FIFO, LIFO, and weighted average cost methods.

Like the perpetual inventory system, a cost flow assumption must be made when identical units are acquired at different unit costs during a period. In such cases, the FIFO, LIFO, or weighted average cost method is used.